

CONSUMER RECEIVABLES · HOW WE RECOVER

Consumer collections, done right: compliant recovery for homeowner and consumer accounts.

Southwest Recovery Services' FDCPA / Regulation F consumer practice — and why choosing a compliant agency is a creditor's risk decision

When a business places consumer accounts — homeowners who didn't pay for completed work, members who walked away from a balance, customers whose payments simply stopped — it is handing its name to whoever makes those calls. Consumer collections is the most regulated corner of the receivables world, and for good reason: the rules protect real households, and violating them creates liability that can reach back to the creditor itself. This paper explains how compliant consumer recovery actually works — the rules that govern every contact, the process step by step, what it means for completed-work homeowner balances, and why the choice of agency is itself a risk-management decision.

Executive summary

Consumer recovery runs under four layers of law — the **FDCPA** for conduct, the CFPB's **Regulation F** for contact frequency and channels, the **FCRA** for credit reporting, and a state-by-state overlay — and the exposure for getting it wrong lands on the creditor's side of the table too: statutory damages run up to \$1,000 per violation plus actual damages and attorney fees, class actions reach \$500,000 or 1% of net worth, and in some federal circuits creditors face vicarious liability for their agency's violations. A single FDCPA lawsuit can cost more than an entire year's collection fees. The answer is not softer collections — it is disciplined ones: a documented, auditable process in which every call is logged, every letter is templated to statutory requirements, every dispute is handled on schedule, and the two levers that actually move a moved consumer — FCRA-permissible skip tracing and accurate credit-bureau furnishing — are applied lawfully and persistently. For completed-work homeowner balances, documentation and freshness decide the outcome: accounts placed inside ~90 days recover at several times the rate of aged ones, on contingency that costs nothing unless it recovers. This paper explains the method.

1. The rules that govern every contact

A compliant consumer program is built on four layers of law, applied to every account, every day. None of them is optional, and together they define what professional consumer recovery looks like:

THE RULE	WHAT IT REQUIRES IN PRACTICE
FDCPA — conduct	Collectors identify themselves and disclose that they are collecting a debt; no calls before 8 a.m. or after 9 p.m. local time; no false or misleading representations, no harassment, no threats of action not actually intended; written cease-communication requests honored and documented.
Regulation F — the 7-in-7 rule	No more than seven call attempts within any consecutive seven-day period on a single account — and once a call results in an actual conversation, no further calls for seven days on that account. Compliance is tracked per account, continuously.
Validation notice — 15 U.S.C. § 1692g	Within five days of first contact the consumer receives the debt amount, the creditor's name, and their dispute rights; a 30-day window to dispute in writing follows, and if the consumer disputes, collection activity stops until the debt is verified.
Electronic communications	Email and text are permitted inside Regulation F — with required disclosures and documented opt-out handling; channels a consumer has restricted are off-limits.
FCRA — credit reporting	Bureau furnishing must be accurate, updated promptly on resolution, and corrected promptly on legitimate dispute — reporting is leverage only when it is clean.
State overlay	Licensing, stricter call limits, enhanced disclosures and prohibited practices vary by the consumer's state — a compliant agency tracks the requirements that apply to each account's location, not just its own.

The practical point for a creditor: every one of these rules shapes how an agency will speak to *your* customers, in *your* name. An agency that treats them as friction will eventually treat them as optional — and that is when the exposure moves upstream.

2. Why compliance is the creditor's risk decision

The agency makes the calls, but the liability framework reaches the creditor's side of the table:

EXPOSURE	SCALE
Statutory damages	Up to \$1,000 per violation per consumer — plus actual damages and attorney's fees, which routinely dwarf the statutory figure.
Class actions	Capped at \$500,000 or 1% of the collector's net worth, whichever is less — plus defense costs that arrive whether or not the case succeeds.
Vicarious liability	In some federal circuits, creditors can be held liable for FDCPA violations committed by their third-party collection agency — the agency's conduct can become the creditor's lawsuit.
Reputation	For a business whose name is on trucks in its own service area, an abusive collection call is a review, a complaint, and a story — none of which the recovered balance pays for.

Source: Fair Debt Collection Practices Act, 15 U.S.C. § 1692k (statutory and class damages); vicarious-liability treatment varies by federal circuit — confirm with counsel.

One line from our own practice standards says it plainly: *a single FDCPA lawsuit can cost more than an entire year's collection fees*. Choosing a compliant consumer collection agency is not just an ethical decision — it is a risk-management decision, made once, that protects every account placed afterward.

3. The compliant consumer process, step by step

Every placed account flows through the same documented sequence — the same one that runs on our platform for every consumer file we work:

STEP	WHAT HAPPENS
1. Intake & compliance screen	Every placement is checked for state eligibility and complete required information — consumer name, last known address, balance, original-creditor detail, debt documentation. Accounts from excluded states are returned at this step, not worked quietly.
2. Skip tracing	Where the address or phone on file has gone stale, FCRA-permissible skip tracing locates current contact data — the step that makes lawful contact possible at all.
3. First contact & validation notice	Outreach begins and the validation notice starts the consumer's 30-day dispute clock — rights delivered on schedule, every time.
4. Outreach & negotiation	Multi-channel contact — calls, letters, permissible electronic channels — inside the 7-in-7 limits, aimed at resolution: paid in full where possible, structured plans where realistic.
5. Credit-bureau reporting	Eligible accounts are furnished to the consumer bureaus under the FCRA — genuine motivation to resolve, with accuracy and prompt updates non-negotiable.
6. Pre-legal review	Accounts that stay unresponsive are reviewed with the client before any escalation is recommended — the creditor decides, informed, account by account.
7. Portal visibility	Real-time account status, document upload, and activity review — the client watches the process run rather than wondering about it.

Underneath the sequence sits the documentation discipline that separates a professional consumer practice from a liability: every call is logged; every letter is templated to FDCPA requirements; every dispute is flagged and handled on schedule. The process is documented and auditable — that is not a marketing claim, it is how the operation actually runs, reviewable by the client, a regulator, or a court.

4. The two levers that move a moved consumer

The hardest consumer debtor is the one who left — the homeowner who sold the property, the customer whose phone number died with the account. Compliant recovery has two levers built for exactly that case, and they work as a system. **Skip tracing answers “where.”** FCRA-permissible skip tracing locates current address, phone and employment data for consumers whose contact information has gone stale — run at intake and refreshed for as long as the account is worked. Without location, nothing else in the process can lawfully happen; with it, a “gone” account becomes a workable one. **Credit-bureau reporting answers “why.”** For a four- or five-figure completed-work balance, bureau visibility is the single strongest motivation to resolve: the balance resurfaces at the consumer's next mortgage, refinance, auto loan or rental application — precisely when they most want it gone. Accuracy, prompt updates on resolution, and clean dispute handling are what keep the lever legitimate, and effective.

Together they change the economics of the small-to-mid consumer balance: an account that would never justify a lawsuit becomes recoverable through location plus lawful consequence — persistently, professionally, and at zero cost to the creditor until dollars actually move.

5. Completed-work homeowner balances — the strongest consumer file there is

A contractor’s consumer receivable — the homeowner who didn’t pay for finished work — is one of the best-documented consumer file types in existence, when it is handled right. The signed contract, permits, inspection records and photos of completed work neutralize the most common consumer disputes before they start, and support clean bureau furnishing. Where the work was mandated by a city agency, the paper is stronger still: the homeowner was required to order the repair.

What decides the outcome is freshness. Collectability decays sharply with age — contact information goes stale, the debtor’s circumstances change, and newer bills win:

AGE OF THE DEBT	PROBABILITY OF COLLECTION
3 months past due	68.9%
6 months past due	51.3%
1 year past due	21.4%
2 years past due	8.9%

Source: Commercial Collection Agencies of America. Figures are directional and vary by portfolio, industry, and documentation quality.

The practical rule that follows: the optimal placement window is **60–90 days past due** — after internal efforts, before serious aging — and a standing monthly placement rule beats an annual cleanup every time. Each week of delay reduces recovery probability and lets the debtor prioritize other invoices. On contingency, placing costs nothing; waiting does.

6. What it costs, and what to have ready

Reputable consumer-trade recovery runs contingency-only — typically **10–25% of recovered funds**, scaling with account age, balance size and complexity, with no upfront costs and no monthly fees. Any incidental costs (lien filings, legal escalation) should be disclosed before engagement, never discovered after. Complete placements recover faster and dispute less; for each consumer account, assemble the consumer’s name and last known address (skip tracing works from there), the balance with an itemized statement of how it accrued, the signed contract or agreement where one exists, proof the work or service was delivered — permits, inspections, delivery records, photos — and a brief log of your own collection attempts to date. Most of this exports directly from a billing system or job file; a good partner maps the export once, and every future placement takes minutes — which is exactly what makes a standing 60–90-day placement rule workable for a busy office.

Fee ranges per Southwest Recovery Services’ published contractor-collections guidance; individual rates are quoted against a representative sample of the portfolio.

About Southwest Recovery Services

Southwest Recovery Services recovers consumer receivables for business creditors — contractors and home-services firms, retailers and e-commerce, subscription and recurring-billing businesses, gyms, medical practices, property managers and schools — on pure contingency since 2004, in 47 states (all except California, Oregon and Washington). Every account is worked under a documented FDCPA / CFPB Regulation F compliance program with FCRA-governed credit reporting; skip tracing runs on FCRA-permissible data. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts nationwide from 12 offices in 7 states — with no upfront fee, no retainer and no minimum. Southwest Recovery is an ACA International member, fully licensed and bonded, with a clean compliance record since 2004.

Consumer recovery your name can stand behind.

A short call to walk your consumer accounts, see the compliance program in practice, and put a contingency rate against a representative sample — no upfront fee, no retainer, no minimum.

Call **(866) 551-4684** · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. Consumer-collection and credit-reporting rules vary by state and change frequently — confirm current requirements with counsel. Figures and fee ranges are illustrative and vary by portfolio, account age and documentation. Southwest Recovery Services does not collect consumer debt in California, Oregon or Washington.